

3. TRUSTWORTHINESS

If a company can generate more business due to their trustworthiness, it can be seen as a competitive advantage. Trustworthiness cannot be generated overnight, so competitors will not be able to take away the edge such companies hold in the short term. For any company, trust is necessary to attract business. But when does trustworthiness generate more business?

Examples of trustworthiness being a competitive advantage for a company or institution can be seen in banking, media, and educational institutions.

So, we can understand that trustworthiness can be an advantage in sectors where the end user could be exposed to a lot of risk. In all these sectors, you will find that trust is one of the sources of business.

COMPANY	WHY ARE THEY TRUSTED?	WHAT KIND OF ADVANTAGE DOES THIS COMPANY HAVE?
HDFC Bank and Kotak Bank	Track record of reliable banking service	• Trusted with deposits that can be utilised for loans • Can get away with lower interest rates offered to depositors
IITs, IIMs, and Ivy League universities	Extensive history of nurturing some of the brightest minds and most outstanding professionals	• Can charge high fees to students • Can attract various employers
Big Four Auditing Companies	Trusted by some of the biggest corporations worldwide	• Domination of market share
Life Insurance Corporation of India (LIC)	Government-backed institution with a track record of serving a majority of insurance holders	• Can set high premiums • Attract new customers